

25 Risk identification & classification

17 primary questions | Oldest to newest

2026 objectives: 3.3.1, 3.3.3-3.3.4

10 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2005 Q7	20 marks
CA1-P1 April 2007 Q6	18 marks
CA1-P1 September 2007 Q6	18 marks
CA1-P1 September 2008 Q6	35 marks
CA1-P1 April 2009 Q5	22 marks
CA1-P1 April 2011 Q3	12 marks
CA1-P1 April 2011 Q5	19 marks
CA1-P1 April 2011 Q7	19 marks
CA1-P1 April 2012 Q6	19 marks
CA1-P1 September 2013 Q7	24 marks
CA1-P1 September 2014 Q2	10 marks
CA1-P1 September 2016 Q4	15 marks
CA1-P1 September 2018 Q2	8 marks
CA1-P1 September 2018 spare Q8	19 marks
CP1-P1 September 2019 Q2	10 marks
CP1-P1 September 2020 Q4	8 marks
CP1-P1 September 2022 Q11	14 marks

CA1-P1 | September 2005 | Q7

Current topic | 20 marks total | Original PDF p3

Related: Ch 30.

- 7** A city council is considering building a new tourist and leisure complex which it hopes will appeal to visitors to the city as well as to local residents.
- (i) Discuss the steps necessary to achieve an effective identification of the risks facing the project. [11]
 - (ii) State the major risks associated with this project. [3]
 - (iii) Discuss how each of the risks identified in part (ii) might be mitigated. [6]
- [Total 20]

CA1-P1 | April 2007 | Q6

Current topic | 18 marks total | Original PDF p4

Related: Ch 30.

6 A consortium is planning to construct a new national sports stadium on behalf of the owner of the site. The consortium will receive a proportion of the income from events to be held in the stadium during the first 15 years following completion of the stadium, after which all rights will revert to the site owner.

(i) Outline the ways in which the consortium can identify and control the operational risks on this project. [6]

(ii) Describe four significant risks for the consortium, and for each suggest a method to mitigate it. [8]

The consortium has asked a bank to lend it money to finance the construction.

(iii) Outline the terms and conditions for the loan that the bank might seek in order to control its risks. [4]

[Total 18]

CA1-P1 | September 2007 | Q6

Current topic | 18 marks total | Original PDF p3

Related: Ch 1, Ch 30.

- 6** A local authority is considering supporting the reopening of a railway station on an existing commercial working line.
- (i) List the stakeholders in the project. [3]
 - (ii) Outline the criteria that the local authority may wish to see satisfied before giving its support to the project. [6]
 - (iii) State the potential risks associated with this project and consider how each could be mitigated. [9]
- [Total 18]

CA1-P1 | September 2008 | Q6

Current topic | 35 marks total | Original PDF p3

Related: Ch 9, Ch 16.

6 (i) State reasons why overseas property may be attractive to institutional investors. [3]

(ii) List practical problems an investor in overseas property may face. [3]

A large financial institution has been asked by a consortium to provide significant debt finance for a major project. The consortium proposes to construct and then manage a number of new hotels in a range of developing countries. The target customers for the hotels would be affluent tourists from developed countries.

(iii) Outline the social and economic factors that could make the project an attractive proposition. [3]

(iv) Describe significant risks to the consortium's revenues once construction has been completed. For each risk, explain the actions that could be taken to reduce the chance of the risk occurring. [12]

As an alternative to lending money to the consortium, the financial institution is considering purchasing blocks of shares in a number of domestic property companies whose portfolios contain overseas hotels.

(v) Explain how the financial institution's risk profile would differ between the two alternatives. [8]

(vi) Describe the benchmarks the financial institution could use to assess the performance of each of the two alternative investment options. [6]

[Total 35]

CA1-P1 | April 2009 | Q5

Current topic | 22 marks total | Original PDF p3

Related: Ch 30, Ch 2.

- 5** A large multinational corporation runs chains of fast food restaurants. Currently the corporation only operates in developed countries.

The corporation is considering expanding its operations by setting up in a large developing country.

- (i) Outline the options that the corporation should consider in deciding how to enter this developing market. [4]
- (ii) Discuss the factors that need to be considered to assess the viability of the expansion project and to identify and analyse the significant risks involved. You do not need to consider any issues relating to financing the project. [12]
- (iii)
 - (a) List the main approaches for mitigating the major risks of a project; and
 - (b) Give one example of how each approach could be applied in this project. [6]

[Total 22]

CA1-P1 | April 2011 | Q3

Current topic | 12 marks total | Original PDF p2

Related: Ch 27.

- 3** A commercial television company produces and broadcasts a successful quiz show, which has had high viewing figures over a number of years. After a short break, the show is to be re-launched for an expected run of two years.

The format is that contestants, who are members of the public, have to answer a series of general knowledge questions, which get progressively harder. The contestant wins prizes depending on how many questions they get right. The more correct questions the higher the prize. Should the contestant answer twelve questions correctly, they win a jackpot of €10,000,000. The next highest prize, for answering eleven questions correctly, is €1,000,000.

In conjunction with the show, the company intends to introduce a new competition for viewers. A simple multiple-choice question will be asked during each show. Viewers will be able to phone-in their answers. Of the viewers who phone in with the correct answer, one will be selected at random and a €5,000 cash prize will be given.

- (i) Outline the risks specific to this show for which the company may wish to take out insurance cover. [5]
- (ii) Discuss the factors that will contribute to the moral hazard an insurance company will face when providing such cover. [4]
- (iii) Set out the benefits to the insurance company, other than profits to be made on the contract, of providing this cover. [3]

[Total 12]

CA1-P1 | April 2011 | Q5

Current topic | 19 marks total | Original PDF p3

Related: Ch 10, Ch 30.

- 5** A large bank operates many business lines in many countries. One of the products it offers is a derivative based on the level of property prices in a particular country with a developed property market. The derivative increases in value if a specific property price index (published by a local property surveyor) falls in value. An investor is considering purchasing the derivative.

- (i) Comment, from the perspective of the investor, on the importance of different financial risks relating to the derivative and the bank. [9]

The bank has one employee in this country, who is assigned to price and monitor the derivative.

- (ii) Describe the operational risks associated with this arrangement. [4]

- (iii) Suggest ways the bank could reduce the operational risk presented by this arrangement. [3]

The derivative is frequently combined with a second derivative linked to the profitability of the bank's mortgage portfolio and then traded as a single investment. The second derivative increases in value as profitability of the mortgage portfolio increases.

- (iv) Discuss why the market price of this combined investment:
- (a) may be less volatile than the price of the separate derivatives; or
 - (b) may be more volatile than the price of the separate derivatives [3]
- [Total 19]

CA1-P1 | April 2011 | Q7

Current topic | 19 marks total | Original PDF p4

Related: Ch 17, Ch 30.

- 7** An airline that only operates within its domestic country is considering expanding by offering overseas flights. It has started a project to decide the geographical region to which it will commence flights, from a shortlist of three regions.

- (i) Outline the steps necessary to identify the risks facing the project. [5]
- (ii) Identify the major risks to the airline of operating in overseas markets, and for each risk suggest a way to mitigate that risk. [8]

The airline has decided to focus on a region in which the authorities only offer three-year licences to new airlines. For this region the airline's project team has identified three possible scenarios which may occur.

	<i>Scenario A</i>	<i>Scenario B</i>	<i>Scenario C</i>
Probability of Occurrence	30%	50%	20%
Set Up Costs	£m	£m	£m
Net revenue			
Year 1	50	40	30
Year 2	50	40	30
Year 3	50	45	30

- (iii) Calculate the Net Present Value of the project, using a discount rate of 5% per annum. [3]
- (iv) (a) Comment on the probability of profit and loss on the project; and
- (b) List other factors which may influence the decision on whether to invest in this project. [3]
- [Total 19]

CA1-P1 | April 2012 | Q6

Mixed / scope note | 19 marks total | Original PDF p5

Includes historical project planning or appraisal material not explicitly listed in 2026. The risk, modelling and commercial applications remain relevant; keep the full question together. Related: Ch 35, Legacy: project planning and appraisal techniques.

- 6** High Power is a domestic construction firm specialising in the energy sector. Over the last ten years it has built a number of traditional power plants (which rely on fossil fuels). With increased consumer demand for green energy High Power is currently bidding for a contract to construct a dam and hydro-electric plant project for the government.

Under the terms of the project contract one quarter of the project fee will be payable to High Power upon exchange of contracts. The balance of the fee will be paid as a lump sum on completion and handover of the dam and hydro-electric plant. It is expected that the project will be completed within three years.

As part of the bidding process High Power will prepare a written strategy document.

- (i) List the particular items, which should normally be included in such a strategy document. [6]
- (ii) Describe four distinct non-financial risks that High Power could be exposed to under this project. Your description should include of a way of mitigating each risk. [8]

Most of the fee will be paid on completion of the project. Hence High Power believes that a key financial risk will be maintaining company cash flows for the three-year term of the contract.

- (iii) Discuss options for managing the cash flow problems arising from the staggered project payments. [5]
- [Total 19]

CA1-P1 | September 2013 | Q7

Current topic | 24 marks total | Original PDF p4

Related: Ch 35, Ch 12.

- 7** A large developing country has recently experienced sustained levels of economic growth, giving rise to growth in capital markets, private and commercial sectors. However, the country's infrastructure is outdated and may constrain future growth.

The country's government has decided to embark on a large road-building project. The intention is to link the country's main cities with fast motorways.

- (i) Describe the main methods the government could use to fund this project. [5]

The government has identified the major consequences of specific risks facing the project as:

- unhappy citizens leading to electoral unpopularity or protests (unpopular)
- costs being higher than anticipated (costs)
- the project taking longer than expected to complete (delays)

The government has appointed a project team and identified the major stages of the project as: planning; construction; ongoing operation and maintenance.

As part of the risk analysis, the project team has set up a risk matrix as shown below:

Consequences	Stages		
	Planning	Construction	Ongoing
Unpopular			
Costs			
Delays			

- (ii) Suggest, for each of the nine cells in the matrix, one specific risk event that could be relevant. [5]

- (iii) For each of the following methods of risk mitigation:

- avoiding the risk
- transferring the risk
- sharing the risk
- reducing the risk

Give one distinct example from the events identified in part (ii) of how risk mitigation could be achieved. [4]

As part of the project, the government plans to take possession of land and homes along the proposed routes that are currently owned by private citizens.

- (iv) Discuss why the government might not pay fair value for any land or homes it takes possession of. [3]

The government decides to pay a fair value for any homes or land currently owned by private citizens.

CA1-P1 | September 2013 | Q7 - continued

Current topic | 24 marks total | Original PDF p5

Related: Ch 35, Ch 12.

(v) Outline how the payments could be determined using:

- (a) a discounted cash flow method
- (b) a market value based method

[7]

[Total 24]

CA1-P1 | September 2014 | Q2

[Current topic](#) | [10 marks total](#) | [Original PDF p2](#)

Related: Ch 30.

- 2** A medium sized company, is considering moving its manufacturing facilities from its base in a European country to a less developed country outside of Europe. The company currently sells products only within Europe.

Identify the major risks that this move would present to the company, together with ways that these risks might be mitigated. [10]

CA1-P1 | September 2016 | Q4

Current topic | 15 marks total | Original PDF p2

Related: Ch 30.

- 4** HHO Power is a company which owns and operates a number of hydro-electric and tidal power plants.
- (i) Outline, using an example in each case, the main categories of risk this company is subject to. [6]
- (ii) Describe how the risks mentioned in part (i) could be managed by each of the four main risk management tools. [9]
- [Total 15]

CA1-P1 | September 2018 | Q2

[Current topic](#) | [8 marks total](#) | [Original PDF p2](#)

September 2018 main paper, recovered from the supplied archive; the extracted folder had contained the spare paper under this date.

- 2**
- (i) Describe market risk for both assets and liabilities. [3]
 - (ii) Describe, including examples, liquidity risk for an insurance company. [5]
- [Total 8]

CA1-P1 | September 2018 spare | Q8

[Current topic](#) | [19 marks total](#) | [Original PDF p3](#)

2018 spare paper (X18), distinct from the September main sitting. Original paper and matching spare examiner report restored from the supplied archive. Related: Ch 30.

- 8** A university is evaluating building a new sports facility. It plans to include an Olympic sized swimming pool and a specialist diving pool.
- (i) Suggest why the university may wish to add this new facility. [3]
 - (ii) Describe the steps necessary to achieve an effective identification of the risks facing this project. [6]
 - (iii) Discuss the risks associated with the project and the ways they could be mitigated. [10]
- [Total 19]

CP1-P1 | September 2019 | Q2

Current topic | 10 marks total | Original PDF p2

Related: Ch 1.

- 2** An established retail bank in a developed country has recently been losing market share. The bank is also facing rising costs from increased rents of its branches and staff salaries.

The bank's Board has decided to become an internet only bank, offering all services online to its retail customers with no physical branches.

- (i) List the stakeholders who might be affected by such a change. [2]

The Board of the bank believes that the reduction in costs should increase future profitability and the new model will attract new customers.

- (ii) Describe the risks that might negatively impact the bank's plans. [8]

[Total 10]

CP1-P1 | September 2020 | Q4

Current topic | 8 marks total | Original PDF p2

Related: Ch 26.

- 4** (i) Describe the four steps necessary to achieve an effective identification and analysis of the risks facing a project. [4]

A savings product pays out a guaranteed lump sum to the beneficiary 2 years after purchase, in return for an initial single premium.

- (ii) List the reasons the company may not pay in full. [2]

- (iii) Outline the risks the beneficiary may face if the payment amount is not guaranteed. [2]

[Total 8]

CP1-P1 | September 2022 | Q11

Current topic | 14 marks total | Original PDF p4

Related: Ch 23, Ch 30.

- 11** A company is planning to introduce e-scooters (a two-wheeled vehicle powered by batteries) for short-term rental in a large city.
- (i) Outline the risks that the company will need to consider before going ahead with this project. [5]

The company has investigated options to mitigate the risks it faces from renting e-scooters. They have decided that insurance will be needed to cover the risks from part (i). An insurance company has been asked to quote for this business.

- (ii) Discuss the factors the insurance company will need to consider when pricing this business. [6]
- (iii) Outline other possible actions the company providing e-scooters may consider in order to manage the risks before going ahead with the project. [3]

[Total 14]